

KARNATAKA ACT 29 OF 2026
THE KARNATAKA MOTOR VEHICLES TAXATION (AMENDMENT) ACT,
2026

Arrangement of Sections

Sections:

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STATEMENT OF OBJECTS AND REASONS

Amendment Act 29 of 2026:- It is considered necessary further to amend the Karnataka Motor Vehicle Taxation Act, 1957 (Karnataka Act No 35 of 1957) to make collection of tax effectively and to reduce the tax payment defaulters for the ex-chequer of the state and certain other consequential amendments are also made.

Hence, the Bill.

[L.A. Bill No. 12 of 2026, File No. SAMVYASHAE 14 SHASANA 2026]

[Entry 57 of List II of the Seventh Schedule to the Constitution of India]

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KARNATAKA ACT 29 OF 2026

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THE KARNATAKA MOTOR VEHICLES TAXATION (AMENDMENT) ACT, 2026

(Received the assent of the Governor on the 9th day of April, 2026)

An Act further to amend the Karnataka Motor Vehicles Taxation Act, 1957.

Whereas it is expedient further to amend the Karnataka Motor Vehicles Taxation Act, 1957 (Karnataka Act 35 of 1957) for the purpose hereinafter appearing:

Be it enacted by the Karnataka State Legislature in the seventy seventh year of the Republic of India, as follows:-

1. Short title and commencement.- (1) This Act may be called the Karnataka Motor Vehicles Taxation (Amendment) Act, 2026.

(2) It shall come into force from such date as the State Government may, by notification in the official Gazette, appoint.

2. Amendment of section 3.- In section 3 of the Karnataka Motor Vehicles Taxation Act, 1957 (Karnataka Act 35 of 1957) (hereinafter referred to as the Principal Act), in sub-section (1), after fourth proviso, in Explanation-2, for the words, letters and figures "Parts A1, A2, A4, A5, A6, A7 and A8", the words, letters and figures "Parts A1, A2, A2(a), A4, A5, A5(a), A6, A7, A8, A8(a), A9 and A10" shall be substituted.

3. Amendment of section 4.- In section 4 of the Principal Act, in sub-section (3), after fourth proviso, the following shall be inserted, namely:-

"Provided also that, in case of new vehicle registered or other State vehicles migrating to this State, tax shall be levied as per the schedule Part-A."

4. Amendment of section 7.- In section 7 of the principal Act, in sub-section (3), after the word, letter and figure "Part C8", the words, letters, figures and brackets "Part C1(a), Part C4(a) and Part C7(a)" shall be inserted;

5. Amendment of schedule.- In the Schedule to the Principal Act,-

(1) in Part A,-

(i) (a) in item no. 03, after the words "cash van", the words "already registered Commercial Tractor Trailers in the State" shall be inserted;

(b) for item no. 05(a) and the entries relating thereto, the following shall be substituted, namely:-

“

5(a)(i)	Motor vehicles (Contract carriages) plying for hire or reward and constructed or adopted to carry more than 20 passengers (excluding driver and conductor or attendant) and comply with rule 151(2) of the Karnataka Motor Vehicles Rules, 1989, for every passenger.	1500.00
(ii)	Motor vehicles (Contract carriages) plying for hire or reward and constructed or adopted to carry more than 12 passengers but not more than 20 passengers (excluding driver and conductor or attendant) other than those liable to be taxed under item 5(a)(i) for every passengers.	1500.00
(iii)	Motor vehicles (Contract carriages) plying for hire or reward and constructed or adopted to carry more than 20 passengers (excluding driver and conductor or attendant) other than those liable to be taxed under item 5(a) (i) for every passengers.	2000.00
(iv)	Motor vehicles (LMV-Contract carriages) plying for hire or reward and constructed or adopted to carry more than 12 passengers but not more than 20 passengers (excluding driver and conductor or attendant) which are converted from maxi cab where registered/ conversion on or before 28-05-2021 and comply with rule 151(2) of the Karnataka Motor Vehicles Rules, 1989 for every passenger.	700.00

”

(c) for item no 06 and the entries relating thereto, the following shall be substituted, namely: -

“

6 (a)	Motor Vehicles (luxury buses) plying for hire or reward, constructed or adapted to carry more than 12 passengers (excluding driver and conductor or attendant) and comply with rule 128 of the Central Motor Vehicles rules, 1989, or Motor Vehicles with permits granted under Rule 82 to 85-A of the Central Motor Vehicles Rules 1989 or permits under sub-section (14) read with sub-section (9) of section 88 of the Motor Vehicles Act, 1988, plying for hire or reward permitted to carry more than twelve passengers (excluding driver and conductor or attendant) for every passenger.	2500.00
(b)	Motor Vehicles (Sleeper Coaches) plying for hire or reward, constructed or adapted to carry passengers (excluding driver and conductor or attendant) and comply with rule 125(c) with AIS 119 standards of the Central Motor Vehicles Rules, 1989, or Motor Vehicles with permits granted under rule 82 to 85-A of the Central Motor Vehicles Rules, 1989 or permits under sub-section (14) read with sub-section (9) of section 88 of the Motor Vehicles Act 1988, plying for hire or reward permitted to carry more than twelve passengers (excluding driver and conductor or attendant) for every sleeper.	3000.00

”

(d) in item no 13, after the words "Motor Vehicles", the words "already registered in the State" shall be inserted;

(ii) after Part-A2 and the entries relating thereto, the following shall be inserted, namely:-

**“PART –A2(a)
[see section 3(1)]
Commercial Tractors Trailers**

Sl. No.	Classes of vehicles	Commercial Tractors Trailers
1	2	3
A	At the time of Registration of New Vehicle	10 % of cost of the Vehicle
B	If the vehicle is already registered and its age from the month of Registration is:	Percentage of the Life Time Tax levied under Clause A
1	Not more than 2 years	93%
2	More than 2 Years but not more than 3 Years	87%
3	More than 3 Years but not more than 4 Years	81%
4	More than 4Years but not more than 5 Years	75%
5	More than5Years but not more than 6 Years	69%
6	More than6Years but not more than 7 Years	64%
7	More than7Years but not more than 8 Years	59%
8	More than 8Years but not more than 9 Years	54%
9	More than9Years but not more than10 Years	49%
10	More than10Years but not more than11 Years	45%
11	More than11Years but not more than12 Years	41%
12	More than12Years but not more than13 Years	37%
13	More than13Years but not more than 14 Years	33%
14	More than14Years but not more than 15 Years	29%
15	More than15 years	25%

”

(iii) for Part-A5 and the entries relating thereto, the following shall be substituted, namely: -

**“PART A5
(see section 3(1))**

Lifetime Tax for Motor cars, Jeeps, Omni Buses and Private Service Vehicles.

Sl. No.	Class of vehicles	Motor cars, Jeeps, Omni Buses and Private Service Vehicles having floor area up to 5	Motor cars, Jeeps, Omni Buses and Private Service Vehicles	Motor cars, Jeeps, Omni Buses and Private Service Vehicles	Motor cars, Jeeps, Omni Buses and Private Service Vehicles
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		Sq. Mtrs, cost of which does not exceed Rs. 5 Lakhs.	having floor area up to 5 Sq. Mtrs, cost of which exceedsRs 5 Lakhs but does not exceed Rs.10Lakh	having floor area up to 5 Sq. Mtrs, cost of which exceeds Rs10 Lakhs but does not exceed Rs.20 Lakhs	having floor area up to 5 Sq. Mtrs, cost of which exceeds Rs.20 Lakhs.
1	2	3	4	5	6
A	At the time of Registration of New Vehicle	13 % of cost of the Vehicle	14 % of the cost of the Vehicle	17% of the cost of the Vehicle	18% of the cost of the Vehicle
B	If the vehicle is already registered and its age from the month of Registration is:	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A
1	Not more than 2 years	93%	93%	93%	93%
2	More than 2 Years but not more than 3 Years	87%	87%	87%	87%
3	More than 3 Years but not more than 4 Years	81%	81%	81%	81%
4	More than 4 Years but not more than 5 Years	75%	75%	75%	75%
5	More than 5 Years but not more than 6 Years	69%	69%	69%	69%
6	More than 6 Years but not more than7 Years	64%	64%	64%	64%
7	More than 7 Years but not more than 8 Years	59%	59	59%	59%
8	More than 8 Years but not more than 9 Years	54%	54%	54%	54%
9	More than 9 Years but not more than 10 Years	49%	49%	49%	49%
10	More than 10 Years but not more than11 Years	45%	45%	45%	45%
11	More than 11 Years but not more than12 Years	41%	41%	41%	41%

12	More than 12 Years but not more than 13 Years	37%	37%	37%	37%
13	More than 13 Years but not more than 14 Years	33%	33%	33%	33%
14	More than 14 Years but not more than 15 Years	29%	29%	29%	29%
15	More than 15 years	25%	25%	25%	25%

”

(iv) after Part-A5 and the entries relating thereto, the following shall be inserted, namely:-

“PART A5(a)
(see section 3(1))
(Battery Operated Vehicle (BOV))
Lifetime Tax for Motor cars, Jeeps, Omni Buses and Private Service Vehicles which run on Electricity

Sl. No.	Class of vehicles	Motor cars, Jeeps, Omni Buses and Private Service Vehicles run on Electricity having cost of the vehicle which does not exceed Rs. 10 Lakhs	Motor cars, Jeeps, Omni Buses and Private Service Vehicles run on Electricity having cost of the vehicle which exceeds Rs. 10 Lakhs but does not exceed Rs 25 Lakhs	Motor cars, Jeeps, Omni Buses and Private Service Vehicles run on Electricity having cost of the vehicle which exceeds Rs. 25 Lakhs
1	2	3	4	5
A	At the time of Registration of New Vehicle	5 % of cost of the Vehicle	8 % of the cost of the Vehicle	10 % of the cost of the Vehicle
B	If the vehicle is already registered and its age from the month of Registration is:	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A
1	Not more than 2 years	93%	93%	93%
2	More than 2 Years but not more than 3 Years	87%	87%	87%
3	More than 3 Years but not more than 4 Years	81%	81%	81%

4	More than 4Years but not more than 5 Years	75%	75%	75%
5	More than5Years but not more than6 Years	69%	69%	69%
6	More than6Years but not more than7 Years	64%	64%	64%
7	More than7Years but not more than 8 Years	59%	59%	59%
8	More than 8Years but not more than 9 Years	54%	54%	54%
9	More than9Years but not more than10 Years	49%	49%	49%
10	More than10Years but not more than11 Years	45%	45%	45%
11	More than11Years but not more than12 Years	41%	41%	41%
12	More than12Years but not more than13 Years	37%	37%	37%
13	More than13Years but not more than 14 Years	33%	33%	33%
14	More than14Years but not more than 15 Years	29%	29%	29%
15	More than15 years	25%	25%	25%

”

(v) for Part-A7 and the entries relating thereto, the following shall be substituted, namely:-

**“PART A7
(see section 3(1))**

Lifetime Tax for Construction Equipment Vehicles (As renumbered and defined under Rule 2(cab) of C M V Rules,1989) And vehicles fitted with Air Compressor and Generators.

Sl. No.	Class of vehicles	Construction equipment vehicles
1	2	3
A	At the time of Registration of New Vehicles	10 percent of cost of the Vehicle
B	If the vehicle is already registered and its age from the month of Registration is:	Percentage of the Life Time Tax levied under Clause A
1	Not more than 2 years	93%
2	More than 2 Years but not more than 3 Years	87%
3	More than 3 Years but not more than 4 Years	81%
4	More than 4 Years but not more than 5 Years	75%
5	More than 5 Years but not more than 6 Years	69%
6	More than 6 Years but not more than 7 Years	64%
7	More than 7 Years but not more than 8 Years	59%
8	More than 8 Years but not more than 9 Years	54%
9	More than 9 Years but not more than 10 Years	49%
10	More than 10 Years but not more than 11 Years	45%
11	More than 11 Years but not more than 12 Years	41%
12	More than 12 Years but not more than 13 Years	37%
13	More than 13 Years but not more than 14 Years	33%
14	More than 14 Years but not more than 15 Years	29%
15	More than 15 years	25%

”

(vi) for Part-A8 and the entries relating thereto, the following shall be substituted, namely:-

“PART A8

{see section 3(1)}

Lifetime Tax for Motor Cabs other than those registered out- side the State and covered with the permit issued under sub-section (9) of Section 88 of the Motor Vehicle Act 1988(Central Act 59 of 1988).

Sl. No.	Class of vehicles	Cost of the vehicle which does not exceed Rs. 10 Lakhs	Cost of the vehicle which exceeds Rs. 10 Lakhs but does not exceed Rs. 15 Lakhs	Cost of the vehicle which exceeds Rs. 15 Lakhs
1	2	3	4	5
A	At the time of Registration of New Vehicles	5% of the cost of the vehicle	9% of the cost of the vehicle	15% of the cost of the vehicle
B	If the vehicle is already registered and its age from the month of Registration is:	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A
1	Not more than 2 years	93%	93%	93%
2	More than 2 Years but not more than 3 Years	87%	87%	87%

3	More than 3 Years but not more than 4 Years	81%	81%	81%
4	More than 4 Years but not more than 5 Years	75%	75%	75%
5	More than 5 Years but not more than 6 Years	69%	69%	69%
6	More than 6 Years but not more than 7 Years	64%	64%	64%
7	More than 7 Years but not more than 8 Years	59%	59%	59%
8	More than 8 Years but not more than 9 Years	54%	54%	54%
9	More than 9 Years but not more than 10 Years	49%	49%	49%
10	More than 10 Years but not more than 11 Years	45%	45%	45%
11	More than 11 Years but not more than 12 Years	41%	41%	41%
12	More than 12 Years but not more than 13 Years	37%	37%	37%
13	More than 13 Years but not more than 14 Years	33%	33%	33%
14	More than 14 Years but not more than 15 Years	29%	29%	29%
15	More than 15 years	25%	25%	25%

”

(vii) after Part-A8, and the entries relating thereto, the following shall be inserted, namely:-

**“PART A8(a)
(see section 3(1))**

(Battery Operated Vehicles (BOV))

Lifetime Tax for Motor Cabs other than those registered out- side the State and covered with the permit issued under sub-section (9) of Section 88 of the Motor Vehicle Act 1988(Central Act 59 of 1988).

Sl. No.	Class of vehicles	Motor Cabs which run on Electricity having cost of the vehicle which does not exceed Rs. 10 Lakhs	Motor Cabs which run on Electricity having cost of the vehicle which exceeds Rs. 10 Lakhs but does not exceed Rs. 25 Lakhs	Motor Cabs which run on Electricity having cost of the vehicle which exceeds Rs. 25 Lakhs
1	2	3	4	5
A	At the time of Registration of New Vehicles	5% of the cost of the vehicle	8% of the cost of the vehicle	10% of the cost of the vehicle
B	If the vehicle is already registered and its age from the month of Registration is:	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A	Percentage of the Life Time Tax levied under Clause A
1	Not more than 2 years	93%	93%	93%

2	More than 2 Years but not more than 3 Years	87%	87%	87%
3	More than 3 Years but not more than 4 Years	81%	81%	81%
4	More than 4 Years but not more than 5 Years	75%	75%	75%
5	More than 5 Years but not more than 6 Years	69%	69%	69%
6	More than 6 Years but not more than 7 Years	64%	64%	64%
7	More than 7 Years but not more than 8 Years	59%	59%	59%
8	More than 8 Years but not more than 9 Years	54%	54%	54%
9	More than 9 Years but not more than 10 Years	49%	49%	49%
10	More than 10 Years but not more than 11 Years	45%	45%	45%
11	More than 11 Years but not more than 12 Years	41%	41%	41%
12	More than 12 Years but not more than 13 Years	37%	37%	37%
13	More than 13 Years but not more than 14 Years	33%	33%	33%
14	More than 14 Years but not more than 15 Years	29%	29%	29%
15	More than 15 years	25%	25%	25%

”

(viii) after Part-A9, and the entries relating thereto, the following shall be inserted, namely:-

**“PART A-10
(see section 3(1))**

Lifetime Tax for Motor Vehicles Mounted with Drilling Rigs or Mounted with Air Compressor with drilling rig unit vehicles

Sl. No.	Class of vehicles	Cost of the vehicle
1	2	3
A	At the time of Registration of New Vehicles	10% of the cost of the vehicle
B	If the vehicle is already registered and its age from the month of Registration is:	Percentage of the Life Time Tax levied under Clause A
1	Not more than 2 years	93%
2	More than 2 Years but not more than 3 Years	87%
3	More than 3 Years but not more than 4 Years	81%
4	More than 4 Years but not more than 5 Years	75%

5	More than 5 Years but not more than 6 Years	69%
6	More than 6 Years but not more than 7 Years	64%
7	More than 7 Years but not more than 8 Years	59%
8	More than 8 Years but not more than 9 Years	54%
9	More than 9 Years but not more than 10 Years	49%
10	More than 10 Years but not more than 11 Years	45%
11	More than 11 Years but not more than 12 Years	41%
12	More than 12 Years but not more than 13 Years	37%
13	More than 13 Years but not more than 14 Years	33%
14	More than 14 Years but not more than 15 Years	29%
15	More than 15 years	25%

”

(2) In Part C,-

(i) after Part C1, and the entries relating thereto, the following shall be inserted, namely:-

**“PART C1(a)
(see section 7(3))**

Refund Table for Commercial Tractors Trailers

Sl.No.	If after the registration removal of vehicles or cancellation of Registration of vehicle taken place.	Percentage of Life Time Tax paid to be refunded
1	Within a year	93%
2	After 1 year but within 2 years	87%
3	After 2 year but within 3 years	81%
4	After 3 year but within 4 years	75%
5	After 4 year but within 5 years	69%
6	After 5 year but within 6 years	64%
7	After 6 year but within 7 years	59%
8	After 7 year but within 8 years	54%
9	After 8 year but within 9 years	49%
10	After 9 year but within 10 years	45%
11	After 10 year but within 11 years	41%
12	After 11 year but within 12 years	37%
13	After 12 year but within 13 years	33%
14	After 13 year but within 14 years	29%
15	After 14 year but within 15 years	25%
16	After 15 years	Nil

”

(ii) after Part C4, and the entries relating thereto, the following shall be inserted, namely:-

**“PART C4(a)
(see section 7(3))**

Refund Table for Motor cars, Jeeps, Omni Buses and Private Service Vehicles which run on Electricity.

Sl.No.	If after the registration removal of vehicles or cancellation of Registration of vehicle taken place.	Percentage of Life Time Tax paid to be refunded
1	Within a year	93%
2	After 1 year but within 2 years	87%
3	After 2 year but within 3 years	81%
4	After 3 year but within 4 years	75%
5	After 4 year but within 5 years	69%
6	After 5 year but within 6 years	64%
7	After 6 year but within 7 years	59%
8	After 7 year but within 8 years	54%
9	After 8 year but within 9 years	49%
10	After 9 year but within 10 years	45%
11	After 10 year but within 11 years	41%
12	After 11 year but within 12 years	37%
13	After 12 year but within 13 years	33%
14	After 13 year but within 14 years	29%
15	After 14 year but within 15 years	25%
16	After 15 years	Nil

”

(iii) after Part C7, and the entries relating thereto, the following shall be inserted, namely:-

**“PART C7(a)
(see section 7(3))**

Refund Table for Motor cab which run on Electricity.

Sl.No.	If after the registration removal of vehicles or cancellation of Registration of vehicle taken place.	Percentage of Life Time Tax paid to be refunded
1	Within a year	93%
2	After 1 year but within 2 years	87%
3	After 2 year but within 3 years	81%
4	After 3 year but within 4 years	75%
5	After 4 year but within 5 years	69%
6	After 5 year but within 6 years	64%
7	After 6 year but within 7 years	59%

8	After 7 year but within 8 years	54%
9	After 8 year but within 9 years	49%
10	After 9 year but within 10 years	45%
11	After 10 year but within 11 years	41%
12	After 11 year but within 12 years	37%
13	After 12 year but within 13 years	33%
14	After 13 year but within 14 years	29%
15	After 14 year but within 15 years	25%
16	After 15 years	Nil

”

6. Power to remove difficulty.- (1) If any difficulty arises in giving effect to the provisions of the Karnataka Motor Vehicles Taxation (Amendment) Act, 2026 the State Government may, by order published in the Official Gazette, make such provisions as may appear to it be necessary or expedient for the purposes removing difficulty:

Provided that, no such order shall be made after the expiry of a period of two years from the date of commencement of the Karnataka Motor Vehicles Taxation (Amendment) Act, 2026.

(2) Every order made under sub-section (1) shall, as soon as after it is made, be laid before the State Legislature.

By Order and in the name of
the Governor of Karnataka,

G. SRIDHAR
Secretary to Government
Department of Parliamentary
Affairs and Legislation